



Staff Report

TO: Honorable Mayor and Members of the City Council
FROM: Kirk Pelser, Economic Development Director
BY: Laura James, Economic Development Manager
DATE: July 21, 2026
SUBJECT: Beaumont Library District Lease Agreement - Pass Area Business Hub

Description: Consideration of a lease agreement with the Beaumont Library District for office space within the Pass Area Business Hub, a regional business innovation center located at 514 California Avenue.

Motion:

If the City Council determines that staff's recommendation is appropriate, the following motion is provided:

I move to approve the lease agreement with the Beaumont Library District for office space within the Pass Area Business Hub.

Recommendation:

Staff recommends approving the lease agreement with the Beaumont Library District, which will provide literacy tutoring and job-readiness services from the Pass Area Business Hub while the Library undergoes major construction through early 2027. The agreement supports the continued development of the Hub as a regional, multi-agency resource center and aligns with the City's efforts to expand workforce, educational, and small business services. The month-to-month lease at a nominal rate of one dollar per year formalizes operational responsibilities, enhances collaborative service delivery, and maintains flexibility for future partner needs and facility use.

Discussion:

The Pass Area Business Hub serves as a central resource for workforce development, entrepreneurship, and small business support throughout the Pass region.

The City acquired the property at 514 California Avenue in January of 2024 and has completed several site readiness milestones, including:

- Roof replacement;
- HVAC system replacement;
- Vacancy preparation, including the removal of remaining tenant property;
- Identification and execution of required ADA upgrades;
- Completion of interior and exterior painting;
- Ongoing janitorial and maintenance services; and
- Regular coordination with regional partners.
- Purchase of adjacent lot for future overflow parking.

As a central hub for small business, entrepreneurship, and workforce support, numerous partner organizations occupy and provide services from the Pass Area Business Hub, including the California Family Life Center, Mt. San Jacinto College, Riverside County Office of Economic Development, Fifth District Supervisor Yxstian Gutierrez, Riverside County Workforce Development, California Employment Development Department, and the Inland Empire Small Business Development Center, whose agreements were presented to the City Council for consideration and accepted on June 3, June 17, August 19, and September 2 of 2025. Additionally, a lease agreement with Congressman Raul Ruiz was presented and accepted on April 7, 2026.

The lease agreement in Attachment A represents a commitment from the Beaumont Library District to provide services to benefit the local community from the Pass Area Business Hub. Services will include literacy tutoring during morning hours and a Librarian-by-Appointment service to provide resume and online job application assistance, based on demand, one to two afternoons per week. The addition of the Beaumont Library District further expands the Pass Area Business Hub as a collaborative resource center where entrepreneurs, job seekers, residents, and existing businesses can access a broad range of educational, workforce, and business support services.

The lease is a month-to-month agreement that is expected to remain in effect until major construction is complete at the Beaumont Library in or around February 2027. If Beaumont Library District and the City of Beaumont find that the community will benefit from continuing to receive these services at the Pass Area Business Hub location, the agreement may be extended as per the terms of the lease.

The Beaumont Library District will lease space for a nominal rental fee of one dollar (\$1) per year. The City will cover basic operational expenses to support collaborative service delivery. The initial lease term allows the City to evaluate long-term tenancy models while establishing the center as a stable, multi-agency service hub. This lease agreement formalizes the terms of occupancy, defines mutual operational

responsibilities, and outlines expectations for collaborative service delivery and program integration.

The City continues to preserve flexibility in the facility layout to accommodate additional partners, short-term activations, such as pop-up services or drop-in office use, and potential rental of hoteling or co-working spaces in response to future demand.

Fiscal Impact:

There is no immediate fiscal impact associated with the execution of the lease agreement. The City will continue to cover base operational expenses at the Pass Area Biz Hub as part of its investment in regional economic and workforce development. In FY 2025-26, \$20,176.05 was charged to the Biz Hub through multiple maintenance and utility general ledger accounts within Subaccount 6062. Ongoing maintenance and utility costs have been incorporated into the adopted FY 2026-2027 budget. Future updates may propose nominal cost-recovery fees for long-term office use or private activation of shared spaces; any proposed changes to the financial model will be brought to the City Council for review.

Alternatives:

N/A

Attachments:

- A. Biz Hub Lease Agreement: Beaumont Library District